Employee Benefits and Insurance Guide

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Summary. Explains the insurance and wellbeing benefits available to Northstar Systems employees, including the group health floater, term life and accident covers, wellness allowance, EAP, learning budget and referral bonus, with eligibility, claim steps, deadlines and worked examples.

SYNTHETIC DOCUMENT - Northstar Systems is a fictional company. This document exists for development, testing and demonstration only and is not real legal, employment, security or compliance advice.

1. Purpose and Scope

This guide explains the insurance and wellbeing benefits that Northstar Systems Private Limited provides to its employees, who can use them, how to claim them and which deadlines apply. It applies to all employees on the company payroll in Bengaluru, Mumbai and remote locations across India. Contractors, interns on stipend and consultants are not covered unless their agreement says so in writing.

The guide is owned by the Payroll and Benefits Manager. Insurance contract terms (sub-limits, exclusions, waiting periods, network hospital lists) are set by the insurers and may differ from the summary here; the insurer's policy document prevails for any claim decision. Statutory benefits such as provident fund and gratuity are mentioned only where they interact with the benefits below. Any legal or regulatory reference in this guide is illustrative; to be verified by Legal before external use.

Benefits are administered through NorthPeople (enrolment, dependants, declarations) and NorthPay (reimbursement claims and payroll deductions). Questions go to the HR Helpdesk at hr-helpdesk@northstar-systems.example.

2. Definitions

- **Employee**: a person on Northstar payroll with an employee ID of the form NS-12345, including employees on probation.
- **Dependant**: for health insurance, the employee's spouse and up to 2 children. Parents are covered only under the optional top-up described in section 5.
- **Floater**: a single sum insured shared by all covered family members during a policy year.
- **Policy year**: the insurance year of the group policies, which is administered separately from the fiscal year (1 April to 31 March) and is stated on the insurer card.
- **Fixed pay**: annual fixed compensation, excluding variable pay, as shown in NorthPay.

- **Cashless claim**: a hospital claim settled directly between the insurer and a network hospital, with the employee paying only non-covered items.
- **TPA**: the third-party administrator that processes health insurance claims on behalf of the insurer.
- **EAP**: the Employee Assistance Programme, a confidential counselling service.

3. Roles and Responsibilities

- **Employee**: enrols dependants on time, keeps nominee details current in NorthPeople, files claims within the stated deadlines and keeps original receipts.
- **Payroll and Benefits Manager**: owns this guide, manages insurer relationships, approves exceptions to enrolment windows and escalates disputed claims to the insurer.
- **HR Helpdesk**: first point of contact for benefit questions, insurance card issues and claim follow-ups.
- **Finance Desk** (finance@northstar-systems.example): processes reimbursement payments after approval and handles tax-related queries on benefits.
- **Reporting manager**: approves learning requests and confirms eligibility for learning-linked benefits where required.
- **Chief People Officer**: approves any benefit exception that changes a sum insured, an eligibility rule or a cost to the company above INR 1,00,000.

4. Benefits at a Glance

Benefit	Coverage or amount	Who is covered	How to use
Group health insurance floater	INR 5,00,000 per policy year	Employee, spouse, up to 2 children	Insurer card, cashless at network hospitals
Parents health top-up	Optional, premium at employee cost	Parents or parents-in-law	Opt in through NorthPeople
Group term life cover	3x annual fixed pay	Employee (nominee receives payout)	Automatic from date of joining
Personal accident cover	INR 10,00,000	Employee	Automatic from date of joining
Annual wellness allowance	INR 12,000 per fiscal year	Employee	Claim in NorthPay with receipts by 31 March
Employee Assistance Programme	24x7 helpline, 3 free sessions per issue	Employee and household members	Call the EAP helpline
Learning budget	INR 40,000 per fiscal year	Employee	Enrol through NorthLearn
Referral bonus	INR 25,000 (B1-B4 hires) or INR 50,000 (B5 and above)	Employee who refers	Submit referral in NorthPeople

5. Group Health Insurance

5.1 Coverage

Every employee is covered from the date of joining under a group health insurance floater of INR 5,00,000 per policy year. The floater covers the employee, the spouse and up to 2 children. The sum insured is shared: if a spouse uses INR 3,00,000 in a policy year, INR 2,00,000 remains for all other covered members until the next policy year begins. The premium for the base floater is paid

entirely by Northstar.

The policy generally covers in-patient hospitalisation, day-care procedures, pre- and post-hospitalisation expenses for the periods defined by the insurer, ambulance charges and maternity-related hospitalisation subject to the insurer's waiting periods and sub-limits. Cosmetic procedures, self-inflicted injury and items listed as exclusions in the insurer's policy document are not covered. Employees should read the insurer's document, available in NorthPeople under Benefits.

5.2 Enrolling dependants

Dependants must be added in NorthPeople within 30 calendar days of the employee's joining date. A spouse added after marriage and a newborn child may be added within 30 calendar days of the marriage or birth, with the supporting document (marriage certificate or birth certificate) uploaded in NorthPeople. A dependant not added within these windows can normally be added only at the next annual enrolment window, unless the Payroll and Benefits Manager approves an exception.

The insurer card with the member ID is issued within 7 working days of a complete enrolment. Employees should carry the card (digital copy is accepted) to the hospital.

5.3 Parents top-up

Employees may buy an optional top-up that covers parents or parents-in-law. The premium is charged to the employee and deducted from NorthPay in monthly instalments. The premium depends on the ages of the covered parents and the sum insured chosen. The top-up is a separate cover and does not reduce the INR 5,00,000 floater. Opt-in is available at joining and during the annual enrolment window. Once enrolled, the employee must keep the cover for the full policy year; mid-year cancellation does not produce a refund of premium already deducted, except where the insurer allows it.

5.4 Cashless hospitalisation

1. Check that the hospital is on the insurer's network list shown in the TPA portal or app.
2. For a planned admission, request pre-authorisation at least 3 working days before admission by sending the treatment estimate through the TPA portal.
3. For an emergency, the hospital submits the pre-authorisation request within 24 hours of admission. The employee or family should inform the HR Helpdesk the same day so that it can follow up with the TPA.
4. At discharge, the insurer settles the approved amount directly with the hospital. The employee pays non-covered items (for example consumables not payable under the policy).

5.5 Reimbursement claims

If treatment is taken at a non-network hospital, or cashless approval is denied, the employee pays and then claims reimbursement from the TPA. The claim must be submitted within 15 days of discharge with the original bills, discharge summary, investigation reports and the claim form. The HR Helpdesk can assist with submission but does not decide the claim. Reimbursement timelines are set by the insurer; employees should expect the insurer to confirm settlement or query within its standard processing period. If a claim is rejected, the employee may ask the Payroll and Benefits Manager to raise an appeal with the insurer, to be filed within 30 calendar days of the rejection letter.

Example: A Senior Engineer at the Whitefield office (Band B3) is admitted to a network hospital in Bengaluru for a planned knee procedure. The hospital estimate is INR 2,40,000. She requests pre-authorisation 5 working days ahead, the TPA approves INR 2,20,000 and she pays INR 20,000 for non-covered items at discharge. The remaining floater for her family is INR 2,80,000 for the rest of the policy year.

6. Group Term Life and Personal Accident Cover

6.1 Group term life

Northstar provides group term life cover equal to 3x the employee's annual fixed pay, effective from the date of joining. The nominee recorded in NorthPeople receives the payout. Employees must keep the nominee name, relationship and share percentage current and must update it after marriage, birth of a child or any change in circumstances.

Example: An employee at Band B4 with annual fixed pay of INR 18,00,000 is covered for INR 54,00,000 (3 x 18,00,000). If the employee receives a salary revision effective 1 May, the cover is updated to the new fixed pay from the insurer's next endorsement, normally within 60 days.

If the employee dies while in service, the family or nominee informs the HR Helpdesk, which guides them through the claim documents (death certificate, nominee identity proof, bank details and any documents the insurer requires). The company does not delay payroll dues, leave encashment and statutory benefits while the insurance claim is processed; these follow the standard final settlement rules.

6.2 Personal accident cover

Employees are covered for personal accident up to INR 10,00,000 from the date of joining. The cover applies to accidental death and defined categories of disability according to the insurer's schedule. It is separate from health insurance and from term life, and benefits from different covers may be payable for the same event.

An accident must be reported to the HR Helpdesk within 7 days where practicable, with a medical report and, for road accidents, a police report where the insurer requires it.

7. Annual Wellness Allowance

Each employee has a wellness allowance of INR 12,000 per fiscal year (1 April to 31 March). It reimburses eligible health and fitness expenses of the employee and immediate family, such as gym or yoga memberships, preventive health check-ups, eye and dental check-ups, fitness equipment, nutrition consultations and meditation or therapy apps.

Rules for the wellness allowance:

1. Claims are filed in NorthPay with itemised receipts or invoices. Receipts are mandatory for every expense above INR 500.
2. The last date to submit claims for a fiscal year is 31 March. Claims submitted after 31 March are rejected, and unused balance does not carry forward.
3. The allowance is paid by reimbursement, not as a fixed monthly amount, and can be claimed in several instalments up to INR 12,000 in total.
4. Medical expenses already reimbursed by insurance cannot be claimed again under the wellness allowance.

5 Employees who join during the fiscal year receive the full allowance if they join on or before 30 September, and half of it (INR 6,000) if they join from 1 October.

Example: A Support Engineer in Mumbai joins on 12 November. Her wellness allowance for that fiscal year is INR 6,000. She buys a pair of running shoes for INR 4,200 and files the claim in NorthPay with the invoice. INR 1,800 remains until 31 March.

Expenses not eligible include alcohol, tobacco, cosmetics, spa treatments not prescribed by a physician, clothing other than sports footwear, and expenses for people outside the immediate family (employee, spouse, children and parents).

8. Employee Assistance Programme

The EAP provides a confidential 24x7 counselling helpline operated by an external provider. Employees and members of their household may call for emotional, family, financial or work-related stress. Each employee receives 3 free sessions per issue; a new issue starts a new set of 3 sessions. Sessions may be by phone, video or in person depending on the provider's availability.

The provider does not share the content of sessions with Northstar. Northstar receives only anonymised usage statistics. Use of the EAP does not affect appraisals, promotion or any HR decision. Managers who believe a team member needs support should encourage the person to call the helpline and may contact the HR Helpdesk for guidance, without disclosing sensitive details unnecessarily.

9. Learning Budget

Each employee has a learning budget of INR 40,000 per fiscal year, used through NorthLearn. It covers courses, workshops, conferences, books and certification exams that relate to the employee's role or agreed career development. Certification exam fees are reimbursed after the employee passes the exam; the employee files the claim in NorthPay with the pass certificate and receipt.

Programmes costing more than INR 25,000 carry a 12-month service-retention clawback. If the employee leaves Northstar within 12 months of completing the programme, the amount is recovered pro rata from the final settlement. The employee acknowledges the clawback in NorthLearn at the time of enrolment.

Example: An employee enrols in a leadership programme costing INR 60,000 using INR 40,000 from the budget and the balance with department head approval. The programme ends on 30 June. If the employee resigns and leaves after 4 months, 8 of 12 months remain, and INR 40,000 x 8/12 is recovered, which is about INR 26,667, assuming the clawback applies to the company-funded portion.

The unused learning budget does not carry forward to the next fiscal year. Programmes above the remaining budget need the reporting manager's and department head's approval, and any spend that exceeds the remaining budget follows the Delegation of Authority limits.

10. Employee Referral Bonus

Employees who refer a candidate who is hired receive a referral bonus. The amount is INR 25,000 for hires in Band B1-B4 and INR 50,000 for hires in Band B5 and above. The bonus is paid after

the referred hire completes 6 months of service, and the referrer must still be an employee on the payout date. The bonus is paid with the next payroll after eligibility is confirmed in NorthPeople and is taxable as per applicable rules.

Exclusions: a referral is not eligible if the candidate is already in the recruitment pipeline within the last 6 months, if the referrer is on the hiring panel or is in the HR or talent acquisition team for that requisition, or if the referrer is the hiring manager for the role. Referrals must be submitted in NorthPeople before the candidate's application is received through any other channel.

11. Exceptions and Edge Cases

- **Employee leaves during the policy year**: coverage under the group health, term life and personal accident policies ends on the last working day. Employees may ask the HR Helpdesk about insurer portability options in the final week of employment.
- **Employee on maternity or paternity leave**: all insurance covers continue without change and without premium payment by the employee, other than for the parents top-up, which continues to be deducted if the employee has chosen it.
- **Employee on loss of pay or unpaid leave**: base covers continue for up to 90 days; beyond that, the Payroll and Benefits Manager confirms the position with the insurer.
- **Probation**: all benefits listed in this guide apply from the date of joining, including during the probation period.
- **Late dependant addition**: needs approval from the Payroll and Benefits Manager and may require the insurer's acceptance and an additional premium.
- **Duplicate coverage**: an employee who is also covered under a spouse's employer policy may still use the Northstar floater; the insurer decides how claims are coordinated.
- **Tax treatment**: benefits may have tax implications. The Finance Desk can explain how a benefit appears in the payslip but cannot give personal tax advice.

12. Frequently Asked Questions

Can I add my parents to the INR 5,00,000 floater? No. The floater covers the employee, the spouse and up to 2 children. Parents can be covered through the optional top-up at employee cost.

What happens to unused wellness allowance? It lapses on 31 March and does not carry forward.

Is the learning budget available during probation? Yes. The learning budget applies from the date of joining, although a reporting manager may ask a probationer to delay a costly programme until probation ends.

Who decides a health claim? The insurer, through the TPA. HR supports the employee but does not decide.

13. Related Documents

For leave during illness or hospitalisation, see HR-001. For payroll timing, deductions and reimbursements, see HR-010. For separation and final settlement, see HR-012. Expense receipts and claim timelines for non-benefit expenses are covered in the travel and expense policy.

14. Revision History

Version	Date	Change
1.0	2025-04-01	First issue of the benefits guide
1.2	2025-09-15	Added parents top-up and referral bonus exclusions
1.3	2026-01-12	Updated wellness allowance joining rule and EAP details